



Meezan Bank
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Digital Portion of Lease Agreement

This Digital Portion form an integral part of the Physical Portion of Lease Agreement under which the Lessee has taken Vehicle on the lease from the Lessor.

1. Definitions

"Advance Rental" means the portion of Lease Rentals payable in the amount mentioned in the Rental Schedule, by the Lessee at the execution of the Lease Agreement for the use of the Vehicle(s) for the whole Lease term;

" Lease Finances " the amount as mentioned in item (a) of Appendix B (Asset Description) of the Lease Agreement required pursuant to this Agreement for the purposes of financing /acquiring the Vehicle(s) from the Supplier to be leased to the Lessee hereunder. The Lease Finances shall be 'finance' as defined under the Financial Institutions (Recovery of Finances) Ordinance 2001;

"Business Day" means a day on which the banks are open for normal business in Pakistan;

"Benchmark" means, in the case of variable rent, the benchmark rate specified in item (g) of Appendix B and applied in accordance with Clause 18 of the Digital Portion of this Lease Agreement for calculating the periodic rental portion of the Lease Rentals with reference to the Value Date of the lease granted pursuant to the Lease Agreement.

"Event of Default and Termination" means any of the events or circumstances described in Clause 4 of Physical Portion of Lease Agreement;

"Indebtedness" means any obligation of the Lessee for the payment or repayment of money, whether present or future, actual or contingent;

"Lease Documents" means and includes Lease Agreement comprising its Physical Portion and the Digital Portion and its Appendices namely 'Description of Leased Assets' (Appendix B), 'Rental Schedule' (Appendix C) and 'Demand Promissory Note' (Appendix D);

"Lease Period" means the tenure of the Lease as defined in item (c) of the Appendix B of the Lease Agreement;

"Lease Rentals" means the amounts payable by way of Advance Rentals and Periodic Rentals for the use of the Vehicle(s) payable by the Lessee to the Lessor in the amounts and on the dates mentioned in the Rental Schedule.

"Parties" mean parties to this Agreement;

"Payment Date" or "Payment Dates" means the respective dates for the payment of the Lease Rentals as stated in the Lease Documents hereto or if such respective due date is not a Business Day, the next Business Day;

"Periodic Rental" means the portion of Lease Rentals payable by the Lessee to the Lessor for the use of the Vehicle in the amounts and on the dates mentioned in the Rental Schedule appearing in the Lease Documents;

"Principal Documents" means this Agreement (Physical Portion and Digital Portion) and the Security Documents;

"Demand Promissory Note" means an instrument executed in writing by the Lessee (not being a bank-note or currency-note) whereby the Lessee provides an unconditional undertaking, duly signed, to pay to the Lessor on demand a specified sum of money, as required under Clause 4.1(a) of the Physical Portion of the Lease Agreement;



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"Rental Schedule" means the schedule attached hereto as Appendix 'C';

"Rupees" or "Rs." means the lawful currency of Pakistan;

"Supplier" means the supplier from whom the Lessor acquires title of the Vehicle(s) for onward lease to the Lessee;

"SBP" means the State Bank of Pakistan;

"Taxes" includes all present and future taxes (including central excise duty and sales tax), levies, imposts, duties, stamp duties, penalties, fees or charges of whatever nature together with delayed payment charges thereon and penalties in respect thereof and "Taxation" shall be construed according

"Value Date" means the date on which "Delivery Order" document is issued under the Lease Documents; or

"Vehicle(s)" or "Leased Asset(s)" means the motor vehicle(s) and accessories if any described in the Lease Documents attached hereto purchased by the Lessor including all alterations and /or replacements thereto.

2. Interpretation

Clause headings are inserted for convenience of reference only and shall not affect the interpretation of this Agreement.

Unless the context otherwise requires:

(a) references to Clauses and Appendices are references to the clauses of, and appendices to, this Agreement;

(b) references to this Agreement include its Appendices;

(c) words importing the singular include the plural and vice versa; and

(d) references to a "person" include an individual, firm, company, corporation, unincorporated body of persons, institution, state, or any agency thereof.

Terms and Conditions

3. FEES AND EXPENSES

3.1 The Lessee shall pay to the Lessor on demand within 15 days of such demand being made, legal and other ancillary expenses incurred by the Lessor, to the satisfaction of the Lessor in connection with the negotiation, preparation and execution of the Principal Documents and of amendment, extension or the granting of any waiver or consent under the Principal Documents.

4. SECURITY

4.1 As security for the payment of the Lease Rentals and use of the Vehicle(s) as per conditions set out in this Agreement, the Lessee shall:

- a) execute a Demand Promissory Note in favour of the Lessor for the amount of the Lease Rentals receivable during the term of the lease; attached as Appendix D of Lease Agreement;
- b) execute post-dated cheques for all the Periodic Rentals as demanded by the bank;
- c) execute such further deeds and documents as may from time to time be required by the Lessor for the purpose of more fully securing and or perfecting the security created or to be created in favour of the Lessor; and
- d) create such other securities and execute such further documents to secure the Lessee's obligations under the Principal Documents as the Lessor may require the Lessee to furnish from time to time.



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(The above are hereinafter collectively referred to as the "Security" and the documents executed to create Security are collectively referred to as the "Security Documents").

5. PAYMENT AND ACCOUNTS

- 5.1 All payments to be made by the Lessee under this Agreement shall be made in full, without any set-off or counter claim whatsoever, on the Payment Date and when the Payment Date is not a Business Day, the next Business Day, free and clear of any deductions or withholdings on the due date to the Lessor, and the Lessee will only be released from its payment obligations hereunder by the /payment of the sums being received by the Lessor.
- 5.2 If at any time the Lessee is required to make any non-refundable and non-adjustable deduction or withholding in respect of Taxes from any payment due to the Lessor under this Agreement, the sum due from the Lessee in respect of such payment shall be increased to the extent necessary to ensure that after the making of such deduction or withholding, the Lessor receives on the Payment Date, a net sum equal to the sum which it would have received had no such deduction or withholding been required to be made and the Lessee shall indemnify the Lessor against any losses or costs incurred by the Lessor by reason of any failure of the Lessee to make any such deduction or withholding. The Lessee shall promptly deliver to the Lessor original or copies of any receipts, certificates or other proof evidencing the amounts (if any) paid or payable in respect of any deduction or withholding as aforesaid.
- 5.3 In case of variable rental, it is agreed that on monthly/quarterly/semiannually/annually basis during the Lease Period as specified in item (c) of Appendix B, the Lessor, shall vary the amounts of the Periodic Rentals by reference to the Benchmark as specified in item (g) of Appendix B. In the event of variation in the amounts to the effect of Periodic Rental payable, an amended Rental Schedule showing the new amounts payable as Lease Rentals by the Lessee to the Lessor, the Lessor may require the Lessee to execute amended Rental Schedule, corresponding to the Periodic Rental within seven days (failing which the Periodic Rental for corresponding period/tenure shall be deemed to be acknowledged by the Lessee) and the same shall be attached to the Lease Documents replacing the previous Rental Schedule. Notwithstanding the Lessor's requiring, or not requiring the Lessee to execute the aforesaid amended Rental Schedule to the effect of Periodic Rentals, the Rental Schedule shall stand amended on Lessor's amending Rental Schedule for any corresponding period on monthly/quarterly/semiannually/annually basis in terms of Benchmark as specified in item (g) of Appendix B.

6. RETURN OF VEHICLE

- 6.1 Return of the Vehicle(s) shall be at the Lessor's place of business or as specified in the Lease documents attached hereto. Any special equipment or material alteration hereinafter required by the Lessee shall be added only with approval of the Lessor and shall be removed at the Lessee's expense prior to the end of the term of the lease hereby granted;
- 6.2 The Lessee agrees to return the Vehicle(s) at the end of the term of the lease hereby granted or any extension thereof or earlier upon termination of the lease, in good operating condition and working order, free from any physical damage and to the satisfaction of the Lessor. In general, normal wear and tear proportionate to the usage is to be expected. The Lessee and the Lessor or their respective agents shall inspect and provide a jointly signed report on the condition of the Vehicle(s). However, the Lessee shall compensate the Lessor for any damage/loss caused to the Vehicle(s) as a result of neglect or abuse/misuse on the part of the Lessee or on account of storage, operation and maintenance of the Vehicle(s) in a manner not permitted by this Agreement or the manufacturers' or the Supplier's instructions

7. PAYMENT OF LEASE RENTALS ON TERMINATION OF LEASE

- 7.1 Subject to Clause 4 of Physical Portion in respect of Events of Default and Termination, this Agreement may be terminated by the mutual consent of the Parties hereto. Notwithstanding the termination of the lease the Lessee's obligations under the Lease Agreements shall continue so far as the Vehicle(s) is in the possession of the Lessee and the Lessee will be liable to pay Lease Rentals and according to the Lease Agreement fulfill the obligations there under provided that nothing in this Clause will be construed to entitle the Lessor to



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charge Lease Rentals after the Vehicle(s) has been destroyed without any fault of the Lessee or returned to the Lessor.

8. SELECTION OF THE VEHICLE(S)

8.1 The Lessee acknowledges, represents, declares, agrees, and confirms that the Vehicle(s):

- a) are of the required size, design, capacity and manufacture, suitable for its/their purpose
- b) is/are accepted by the Lessee on 'as is where is' basis and the Lessee to ensure that Vehicle(s) meets the required specifications of Lessee. In case of any defects in new vehicle, warranty claim can be made directly from the dealer by Lessee
- c) The Lessor is not the manufacturer or seller of the Vehicle(s) and that the essential function of the Lessor in this Agreement is to lease the Vehicle to the Lessee subject to the terms agreed between the Lessor and the Lessee.

9. DELIVERY

- 9.1 The Lessee shall forthwith obtain delivery of the Vehicle(s) directly from the Supplier of the Vehicle(s) as notified by the Lessor. Upon obtaining the delivery of the Vehicle(s) as aforesaid, the Lessee shall execute and deliver to the Supplier and the Lessor a receipt or acceptance thereof in the form annexed to the Lease Documents. Upon such acceptance of the Vehicle(s), the Lessee agrees and covenants that the Vehicle(s) is in good working order, condition and appearance and in all respects complete and satisfactory to the Lessee.
- 9.2 The Lessee shall notify the Lessor of the place the Vehicle(s) will be located or used and thereafter and the Lessee shall not remove the Vehicle(s) permanently to any other place without the prior written approval of the Lessor.

10. USE OF THE VEHICLE(S)

- 10.1 The Lessee shall at all times use and operate the Vehicle(s) carefully, lawfully, and prudently strictly in conformity with the instructions or operational manuals of the manufacturers received with the Vehicle(s) or separately provided by the Supplier or the Lessor.
- 10.2 The Lessee shall allow the officers, agents or servants of the Lessor (and any persons authorized by it) free and full access to the Vehicle(s) during normal working hours (and immediately in case of emergency) to inspect, view, and examine the state and condition of the Vehicle(s) and for that purpose the Lessee shall permit the said persons to enter the premises where the Vehicle(s) may be kept.
- 10.3 The Lessee shall not, without the prior written consent of the Lessor, make any alteration, addition, or improvement to the Vehicle(s) or change the condition thereof. In the event of any component or accessory being affixed or added to the Vehicle(s) in the process of alteration or improvement of any kind, such component or accessory shall be deemed to be the property of the Lessee. Accordingly, the Lessee shall have the right to retrieve such accessories and components by detachment or removal of the accessories and components from the Vehicle(s) upon termination of the lease hereunder or earlier, provided that such detachment or removal shall neither damage the appearance nor impair the working of the Vehicle(s). Provided that where such addition was made pursuant to the duty of the Lessee to keep the Vehicle(s) under Ordinary Maintenance and Repair under Clause 13 herein below, such additional components and accessories shall be deemed to form part of the Vehicle(s) and shall be the property of the Lessor.
- 10.4 The Lessee shall not transfer, encumber, assign, or otherwise dispose of or purport to transfer, encumber, assign or dispose of the Vehicle(s) or the Lessee's rights or obligations hereunder by way of mortgage, charge, sublease, let out for hire, loan, sale or other assignment, hypothecation, pledge, encumbrance, license, or otherwise in any manner part with the possession of the Vehicle(s) or any part thereof or allow or permit to allow or create any lien, charge, attachment or other claim of whatsoever nature on the Vehicle(s) or any part thereof. Without prejudice to Lessor's all rights, remedies and interests under this Agreement and under the prevailing laws, any loss to Vehicle (s) on account of unauthorized use by Lessee and/or any other



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person shall be deemed to be unauthorized use of Vehicle (s) by Lessee and consequently the Lessee shall be liable for all consequences, claims and losses to the Lessor to Lessor's satisfaction.

10.5 The Lessee undertakes that:

- 10.5.1 In the storage, use and operation of the Vehicle(s) the Lessee shall comply with all related Federal, Provincial, Municipal and local laws, rules and regulations and the orders and directions of the competent authorities;
- 10.5.2 The Vehicle(s) shall not be used or operated contrary to the provisions or requirements of the Takaful/ insurance policies covering the Vehicle(s) or in any manner, which would invalidate the Takaful/ insurance policies or make them unenforceable against the Takaful/insurance companies;
- 10.5.3 The Vehicle(s) shall be handled and operated by suitably trained/licensed personnel and untrained personnel shall not be allowed to operate the Vehicle(s);
- 10.5.4 The Lessee shall not do or omit to be done any act or thing by which the warranties and performance guarantees given by the Supplier or the manufacturer of the Vehicle(s) would become invalidated or become unenforceable wholly or partly, failing which the Lessee shall be liable to the Lessor for all consequences.

10.5.5 The Vehicle(s) shall not be:

- (i) driven by a person without a proper and valid license issued by the appropriate governmental authority, or by one whose driving license has at any time been suspended/expired or cancelled or by a person who is not eligible to drive the Vehicle(s) under the Takaful/ Insurance policy(ies) of the Vehicle(s) or by anyone who is under the influence of intoxicating liquor or drugs, or whose driving ability has been impaired in any other way;
- (ii) used in any event of competitive motoring, races, rallies, time trials or similar driving events; and
- (iii) used for imparting driving instructions
- (iv) used for commission of any offence and/or criminal activities, prohibited under the prevailing/applicable laws

10.6 The Lessee hereby agrees to unconditionally indemnify and save harmless the Lessor from and against all claims, losses, costs, damages, expenses, proceedings and demands made and all fines or penalties levied or imposed in respect of or arising out of the storage, handling, use or operation of the Vehicle(s) or any of them;

10.7 Lessee will immediately notify Lessor of any change of place of permanent location of the Vehicle(s).

11. TITLE

11.1 All rights, title and exclusive ownership of the Vehicle(s) shall at all times remain vested in the Lessor and the Lessee covenants and agrees not to do anything or perform any act prejudicial thereto, and without limiting the generality of the foregoing, not to do any act to encumber, convert, pledge, sell, assign, re-hire, under-let or lease, lend, conceal, abandon, damage or destroy the Vehicle(s), nor to claim any right, title or interest in the Vehicle(s) otherwise than as a Lessee of the Vehicle(s). For avoidance of any doubt, it is clarified that this Agreement is not and shall not be construed as an agreement of hire purchase or an agreement conferring on the Lessee any ownership or proprietary right in the Vehicle(s) except as a Lessee as contemplated under this Agreement.

11.2 The Lessee shall be entitled (so far only as the Lessor is able to transfer the same) to the benefit of all conditions, warranties, performance and other guarantees or other terms, expressed or implied, relating to the Vehicle(s) given by the Supplier or the manufacturers of the Vehicle(s) to the Lessor.



12. REGISTRATION AND TAKAFUL/INSURANCE

- 12.1 The Bank as Lessor shall be responsible for registration and Takaful of Vehicle(s). The Bank may also appoint Lessee or any other party as its agent for registration and Takaful of Vehicle(s).
- 12.2 Vehicle(s) shall be registered in the name of the Lessor as owner under the laws pertaining to motor vehicles in the Province in which the Vehicle(s) is to be regularly used and in the name of the Lessee as the lessee of the Vehicle(s). Notwithstanding such registration, it is agreed between the parties hereto that the Lessor shall not be liable or responsible for any violation of, or non-compliance with, any Federal, Provincial or Municipal or other local body's statute, law, ordinance, rule or regulation, whatsoever, relating to the operation or use of the Vehicle(s), or for the use or operation of any Vehicle(s) hereunder contrary to the provisions of any insurance policy/or contrary to this Agreement, or for loss or damage to persons or property caused or contributed to.
- 12.3 Payment of road tax for the Vehicle(s) in the name of the Lessor shall be the sole responsibility of the Lessee, and provided the Lessee is not in default under this Lease, the Lessor shall, upon request, furnish to the Lessee a letter of authority for this purpose.
- 12.4 The Lessee shall comply with all the terms and conditions of the Takaful/ insurance policies in respect of the Vehicle(s), including the immediate reporting of loss/accidents to the Lessor (and as directed by Lessor to the local police for registration of FIR in case of loss) and the Takaful/ insurance companies and shall comply with all the instructions of the Lessor in connection therewith. The Lessee shall also provide all assistance to the Takaful/insurance company and the Lessor for a prompt settlement of any claims and shall take all such actions and steps as may be necessary in that regard.
- 12.5 Any Takaful/ insurance proceeds may, at the option of the Lessor, be applied as follows:
- (a) in making good the damage to the Vehicle(s); or
 - (b) in replacing the Vehicle(s) with such other Vehicle(s) of the same or similar standard, quality and description where possible, and the terms of this Agreement shall apply to any such replacement. In case a new replacement is provided, a fresh agreement may be negotiated and executed between the parties; or
 - (c) in compensating the Lessor for all losses suffered thereby.
 - (d) Any excess amounts received after deducting the amounts required under Clause 12.5 (a) (b) and (c) herein above in respect of the Takaful/ insurance proceeds may be retained by the Lessor at his option.
 - (e) The Lessee agrees to pay to the Lessor the cost of repairing the Vehicle(s) or replacing any damage arising out of the misuse of the Vehicle(s).

13. REPAIR AND MAINTENANCE OF VEHICLE(S)

- 13.1 The Lessee agrees at its own costs and expenses, to be responsible for the performance of all Ordinary Maintenance and Repair required for the Vehicle(s). The term "Ordinary Maintenance and Repair" shall mean all repair, replacement and maintenance arising out of use of the Vehicle(s), required in normal course to keep and preserve the Vehicle(s) in good operating condition, and in compliance with such standards of maintenance as is generally required for such Vehicle(s) and/or as required by the Lessor.
- 13.2 In performing Ordinary Maintenance and Repair, the Lessee shall pursuant to this lease at all times:
- (a) ensure that the Vehicle(s) are maintained by persons who are duly authorized competent to maintain the same.
 - (b) ensure that accurate, complete and current records of all maintenance activities are maintained.
- 13.3 The Lessor shall be responsible for the performance of Major Repair. The term "Major Repair" shall mean all major expenses related to ownership and repairs arising due to accidents and damages, excluding repair and maintenance covered under Ordinary Maintenance and Repair in Clause 13.1 herein above. Major Repairs shall be covered by Takaful/insurance arrangements obtained by the Lessor.
- 13.4 The Lessee agrees to be solely responsible for costs as well as operational costs and expenses which shall include but shall not be limited to fuel, oil and lubricants.



- 13.5 The Lessee also agrees to be responsible for and forthwith to pay all fees, taxes, fines or all penalties levied by the Government/competent authority of an operational nature to whosoever payable and relating to the transportation, storage, handling, use and operation of the Vehicle(s), except the income tax of the Lessor;
- 13.6 In the opinion of Lessor where Vehicle(s) is out of service due to the requirement of Major Repair or theft or event of repossession, the Lessor is not eligible to receive payments of Lease Rentals by the Lessee for this period (the Stoppage PeriodTM). The Stoppage Period shall be determined by the Lessor in the light of the days required for the Major Repair, recovery or return of Vehicle. If Vehicle is repaired, recovered or returned, then the lease period shall be deemed to be extended by the number of months as determined by Lessor and Lease Rentals shall be charged for such additional number of months of the Lease Period as per Annexure C-2 signed with Lessee.
- 13.7 In the event of replacement or repair of any part of the Leased Asset arising from an accident or partial loss that materially affects the functionality of the Leased Asset in accordance with applicable laws and regulations, any depreciation amount not recoverable under the relevant Takaful claim shall, as a matter of responsibility, be payable by the Lessor; provided, however, that the Lessor may, at its discretion, arrange for such payment to be made in an alternative manner.
- 13.8 Notwithstanding the foregoing, such depreciation shall be borne by the Lessee if the loss, damage, or partial loss is attributable to the Lessee's misconduct or negligence. The Lessee shall, at the time of submission of the Takaful claim, submit justification and supporting documentary evidence (where applicable) demonstrating that the loss did not arise due to its misconduct or negligence, and any such justification and evidence shall be subject to the review and acceptance of the Lessor.
- 13.9 Where the Lessor, acting reasonably, accepts the Lessee's justification and determines that the depreciation is to be borne by the Lessor, the Lessor shall have the sole discretion to determine the method of restoration of the Leased Asset, including replacement, repair, or installation of repaired, refurbished, or used parts, provided that the Leased Asset is restored to a condition that meets the required functional, operational, and regulatory standards. The Lessee shall have no right to require that any replaced part be brand new where repair or replacement with a non-new part is sufficient to restore functionality.

14. ACCIDENTS, INJURIES AND INDEMNIFICATION

- 14.1 The Lessee shall be solely liable for and shall keep the Lessor indemnified inter alia against accidents and injuries, whatsoever, whether fatal or otherwise, damages and losses occurring to any person or property which may directly or indirectly result from or be traceable to the storage, handling, use or operation of the Vehicle(s) by the Lessee, its contractors, its and/or their respective employees/ representatives or agents and/or due to any unauthorized use of the Vehicle (s), or any failure on the part of the Lessee to observe and perform any of the obligations under this Agreement or the instructions contained in the manufacturer's and/or the supplier's maintenance and operation manual or any other instructions of the manufacturers and/or suppliers and the Lessor. If the Lessor has to pay any money in respect of any claim or demand for which the Lessee is liable hereunder, or has to incur any costs, charges or expenses (including attorney's fees) in connection with any such claim or demand, the amount so paid and the costs, charges and expenses incurred by the Lessor shall be paid by the Lessee to the Lessor forthwith in full upon demand;
- 14.2 The Lessee shall indemnify and save harmless the Lessor inter alia from and against any and all claims, losses, costs, damages, suits, expenses, including attorney's fees which the Lessor may sustain or incur as a result of any accident or injury, whether fatal or otherwise suffered by, or any damage or loss occurring to any person or property and howsoever resulting from or traceable or relating to the storage, handling, use or operation of the Vehicle(s) by the Lessee, its contractors, its and/or their respective employees /representatives or agents and/or due to any unauthorized use of the Vehicle (s) to any failure on the part of the Lessee to observe and perform any of the obligations under this Agreement or the instructions contained in the manufacturer's and/or the supplier's maintenance and operation manual or any other instructions of the manufacturers and/or suppliers and the Lessor;
- 14.3 The Lessee further indemnifies the Lessor against any loss or expense, which the Lessor shall certify as rightly incurred by it as a consequence of the occurrence of any Event of Default and Termination, or arising out of any misrepresentation of the Lessee and/or on account of Lessee's breach of the Agreement and all connected and ancillary matters.



15. LIMITATIONS OF LIABILITY

- 15.1 It is understood and agreed that after the Lessee has taken delivery of the Vehicle(s) and has ascertained the suitability of the Vehicle(s) for their purpose, the Lessee indemnifies the Lessor for any loss, damage, claim, demand, liability, cost or expense of any nature or kind sustained by the Lessor directly or indirectly resulting from any inadequacy for any purpose, or any patent defect in the Vehicle(s), or from loss or interruption of use thereof, or any loss of business or profits consequential upon any defect of the Vehicle(s) of any nature whatsoever;
- 15.2 The Lessor has not made and does not hereby make any representation as to merchantability, condition or suitability of the Vehicle(s) for the purpose of the Lessee or any other representation, with respect thereto. The Lessee agrees that its obligation hereunder to pay the Lease Rentals herein provided for shall not in any way be affected by any such patent defect or failure of performance of the Vehicle(s) once it has accepted the delivery of the same;
- 15.3 Whenever they fall due, the Lessee shall be liable to forthwith pay all fees, central excise duties, taxes, levies all penalties levied by the Government, under any statutes or enactments for the time being in force if any, of any nature as may relate to or charged upon or otherwise payable in respect of the usage of the Vehicle(s) or any services in relation to leasing or any other matter relating to this Agreement. Provided that any Tax resulting from or arising in respect of the ownership of the Vehicle by the Lessor shall be borne by the Lessor. In the event that any fees, duties, taxes, levies and penalties or any Ordinary Maintenance or operating costs are levied and paid by the Lessor, the Lessee shall be liable to forthwith reimburse the Lessor for the amount so paid. The Lessee recognizes that the Lessor has no liability whatsoever to make any payment in respect of Ordinary Maintenance and the amounts receivable under this Agreement as Lease Rental shall be net and not reducible/deductible/subject to set-off in value on any account whatsoever.

16. ASSIGNMENT

- 16.1 This Agreement shall be binding upon and inure to the benefit of and be enforceable by the Lessor, the Lessee and respective successors permitted assigns and transferees of the parties hereto, provided that the Lessee shall not assign or transfer any of its rights or obligations under this Agreement without the written consent of the Lessor. The Lessor may assign all or any part of its rights or transfer all or any part of its obligations and/or commitments under this Agreement to any lessor, or other person without the consent of the Lessee. The Lessee shall not be liable for the costs of the assignment and/or transfer of commitments hereunder by the Lessor. If the Lessor assigns all or any part of its rights or transfers all or any part of its obligations and commitments as provided in this Clause all relevant references in this Agreement to the Lessor shall thereafter be construed as a reference to the Lessor and/or its assignee(s) or transferee(s) (as the case may be) to the extent of their respective interests.

17. GENERAL

- 17.1 No failure or delay on the part of the Lessor to exercise any power, right or remedy under this Agreement shall operate as a waiver thereof nor shall an exercise or partial exercise by the Lessor of any power right or remedy preclude any other or further exercise thereof or the exercise of any other power, right or remedy. The remedies provided in this Agreement are cumulative and are not exclusive of any remedies provided by law;
- 17.2 No failure or delay by the Lessor in exercising any right or remedy hereunder shall operate as a waiver thereof nor shall any single or partial exercise or waiver of any right or remedy preclude its further exercise or the exercise of any other right or remedy.
- 17.3 Nothing contained herein shall prejudice or otherwise affect the rights and remedies that may otherwise be available under law to the Lessor.
- 17.4 Any reconstruction, division, reorganization or change in the constitution of the Lessor or its absorption in or amalgamation with any other person or the acquisition of all or part of its undertaking by any other person shall not in any way prejudice or affect its rights hereunder.
- 17.5 Parties agree that any notice or communication required or permitted by this Agreement shall be deemed to have been given to the other party seven days after the same has been posted by registered mail or the next



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Business Day if given by a facsimile message to telex or by any other electronic means, or the next Business Day as counted from the date of delivery if delivered by courier mail.

- 17.6 During the currency of this Agreement in case this Agreement or any provision thereof is finally held by any court, tribunal or authority to be unenforceable or contrary to the injunctions of Islam or not conforming with any of the Islamic modes of financing, as prescribed by the State Bank of Pakistan or any other competent authority or if it is necessary for any other reason whatsoever to amend or modify the terms or any provision of this Agreement, then the parties hereto, whilst acknowledging that the terms and covenants herein contained have been prepared in absolute good faith and in accordance with information and knowledge currently available, agree that upon such happening, they shall forthwith suitably substitute this Agreement or such of its provisions as may have been declared unenforceable or contrary to the injunctions of Islam or not being in conformity with the Islamic modes of financing prescribed by the State Bank of Pakistan or any other competent authority or which are necessary to amend for any other reason whatsoever; provided always that the new terms are in accordance with the directions of the court or tribunal or authority concerned.
- 17.7 This Agreement along with the Lease Documents represents the entire agreement and understanding between parties in relation to the subject matter hereof and supersedes all previous agreements and/or understanding between the parties in relations thereto.
- 17.8 No amendments, modification or waiver in respect of this Agreement will be effective unless in writing (and writing shall include a facsimiles transmission) and executed by each of the parties or confirmed by an exchange of telexes or electronic message on an electronic messaging system.
- 17.9 The parties agree to execute and deliver all such other and additional instruments and documents and to do such other acts and things as may be necessary to more fully effectuate this Agreement, to give effect to the true intent of the parties and for the purpose of perfecting any security given or held for the purposes hereof.

18. BENCHMARK:

- 18.1 For the purpose of variation of variable rent, Benchmark as specified in item (g) of Appendix B. The Benchmark shall be fixed on the last working day immediately preceding the first disbursement date for the first monthly, quarterly, semi-annual or annual rental period, as applicable, and thereafter on the last working day immediately preceding each subsequent monthly, quarterly, semi-annual or annual rental period, as applicable
- 18.2 Lease Rentals shall be revised in line with changes in KIBOR, subject to a maximum rate of thirty-five percent (35%) per annum (Ceiling) and a minimum rate of fifteen percent (15%) per annum (Floor).
- 18.3 In the event that the KIBOR is no longer available for any reason, any alternative provided by the State Bank of Pakistan for the purpose of providing financing shall be used for calculating the Benchmark.

19. LAW & JURISDICTION

- 19.1 This Lease Agreement is governed by and shall be construed in accordance with the Pakistani law, guidelines issued by Islamic Banking department of SBP, in so far as this does not conflict with the Islamic Shariah as determined by the Shariah Board of the Lessor. The competent courts at KARACHI shall have the nonexclusive jurisdiction to hear and determine any action, claim or proceedings arising out of or in connection with this Agreement.